



How to Read Your ESG Report

This guide will help you understand and interpret your ESG Assessment Report.



How to Read Your ESG Report



Report Structure Overview

Your ESG Assessment Report contains several key sections that provide a comprehensive view of your organization's sustainability performance:

1. **Cover Page** - Overall ESG score and interpretation
2. **ESG Quick Assessment** - Summary of your company information and assessment
3. **Detailed ESG Scores** - Breakdown by Environmental (E), Social (S), Governance (G), and Supply Chain
4. **Executive Summary** - Key findings and interpretation of your results
5. **Pillar Analysis** - Detailed analysis of E, S, and G pillars
6. **Legal Compliance Check** - Verification against regulatory requirements
7. **Materiality Assessment** - Importance of different ESG factors for your industry
8. **ESG Analysis & Recommendations** - Actionable insights and next steps
9. **Document Verification** - Analysis of uploaded ESG documents (if provided)
10. **Key ESG Indicators** - Extracted metrics from your documents (if provided)



Understanding Your Overall Score

Your overall ESG score is calculated based on your answers to strategic readiness questions across four main areas: Environmental (E), Social (S), Governance (G), and Supply Chain. The maximum possible score is 85 points, which is then converted to a percentage.

Score Interpretation:

Score Range	Level	Meaning
0-39%	 Beginner	Low sustainability maturity. Urgent action needed in environmental, social, and governance areas.
40-69%	 Intermediate	Medium maturity. You have foundations but need improvement in standardization and policy completion.
70-100%	 Advanced	High maturity. Well-developed ESG processes. Consider expanding reporting scope and external verification.



How to Read Your ESG Report (continued)



Understanding Pillar Scores

Your report breaks down performance into four main areas:

- 🌱 **Environmental (E)** - Maximum 30 points. Covers energy monitoring, CO₂ emissions tracking, scope reporting (1, 2, 3), renewable energy usage, environmental targets, and environmental policies.
- 👤 **Social (S)** - Maximum 25 points. Includes diversity, equity & inclusion (DEI), gender representation in management, health & safety incident tracking, whistleblower protection, and ESG training programs.
- 🏛️ **Governance (G)** - Maximum 20 points. Encompasses risk management, executive compensation disclosure, ownership structure transparency, and quality control/audit processes.
- 📦 **Supply Chain** - Maximum 15 points. Evaluates supplier coverage assessment, data collection processes, and assessment frequency for supply chain sustainability.



Tip: Each area is scored independently. A low score in one area doesn't necessarily mean poor overall performance, but it indicates where improvement is needed. The total score (E + S + G + Supply Chain) is calculated out of 85 points maximum.



Legal Compliance Check

This section verifies your alignment with key regulatory frameworks:

- **CSRD/ESRS** - European Sustainability Reporting Standards compliance
- **Double Materiality** - Assessment of both financial and impact materiality
- **EU Taxonomy** - Alignment with EU Taxonomy for sustainable activities
- **DNSH & Safeguards** - Do No Significant Harm principle and minimum safeguards
- **SFDR** - Sustainable Finance Disclosure Regulation obligations
- **Assurance** - Independent verification status

Each item shows your compliance status: Compliant, Partial, or Non-compliant.



How to Read Your ESG Report (continued)



Materiality Assessment

The materiality section shows the relative importance of different ESG factors for your specific industry. This helps you prioritize where to focus your efforts.

Understanding Importance Values: Higher values indicate that a particular ESG factor is more critical for your industry. Focus on improving areas with high importance values first.



Recommendations Section

This is one of the most actionable parts of your report. It provides:

- **Why** - Explanation of why improvements are needed
- **How** - Specific steps you can take to improve
- **Priority Actions** - What to focus on first

✦ **Action Item:** Review recommendations regularly and track your progress. Consider assigning responsibility for each recommendation to specific team members.



Document Verification & Key Indicators

If you uploaded ESG documents, the report includes:

- **Document Analysis** - Verification of document completeness and alignment with standards
- **Extracted Metrics** - Key ESG indicators automatically extracted from your documents
- **Recommendations** - Specific suggestions based on your document content



Next Steps

1. **Review your overall score** - Understand where you stand in terms of ESG maturity
2. **Identify priority areas** - Focus on pillars with lower scores or higher materiality
3. **Review recommendations** - Create an action plan based on the provided recommendations
4. **Set targets** - Establish specific, measurable goals for improvement
5. **Monitor progress** - Regularly reassess your ESG performance
6. **Consider external support** - If needed, seek professional assistance for complex areas

Quick Reference Guide

Where to Find Information

What You Need	Where to Look
Overall ESG Score	Cover Page
Detailed Pillar Scores	Detailed ESG Scores section
Compliance Status	Legal Compliance Check section
Priority Areas	Materiality Assessment section
Action Items	ESG Analysis & Recommendations
Document Analysis	Document Verification & Key Indicators

Understanding Colors and Symbols

Score Colors:

-  **Red (0-39%)** - Beginner level
-  **Orange (40-69%)** - Intermediate level
-  **Green (70-100%)** - Advanced level

Compliance Symbols:

-  **Compliant** - Fully aligned
-  **Partial** - Partially aligned
-  **Non-compliant** - Not aligned

? Frequently Asked Questions

Q: What if my score is low?

A: A low score indicates areas for improvement. Focus on the recommendations section and start with basic policies and monitoring systems.

Q: How often should I review this report?

A: Review quarterly and reassess annually. Track progress on recommendations regularly.

Q: Can I share this report with stakeholders?

A: Yes, this report is designed for internal use and stakeholder communication. Use it to demonstrate your ESG commitment.

Q: What if I need help understanding specific sections?

A: Contact ESGSyncPRO support at esgsync@protonmail.com for assistance.

Contact ESGSyncPRO

Email: esgsync@protonmail.com

Website: esgsync.pro

Our support team is ready to assist you with any questions about your ESG report.